

Delays in Litigation in India: Insights from a Case Study of Tax Litigation



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* This presentation includes multiple papers often with co-authors (e.g. Profs. Spamann, Mamidi).

Overview

- India's judicial system is known to suffer from lengthy delays. This project examines key factors associated with delays and steps that might be taken to reduce those delays by examining tax litigation.
- Prevalence and consequences of delays:
 - Across most areas, though of differing degrees.
 - Deterrence weakens & frivolous /extortionary suits increase as accuracy of courts declines.
 - Weak enforcement of rights and access concerns
 - Business complicated thereby weakening economic growth
 - Responses – opt-outs, mutual hostages, preliminary outcomes – worsen.
- Causes of delays – many, but key role of Government as litigant representing ~83% of litigation in India (and loses most of these).
- Reforms & Research Proposals – exam one area of gov't litigation (tax) and tests interventions (will discuss emerging results):
 - How evaluate tax officials (can intervene)
 - How review behavior of tax officials (can intervene)
 - Entrenched players (attorneys in these cases – can intervene).

Snapshot of India's Judicial System - Delays

■ Delays and Backlog:

- Over 30m cases pending and 12,000 courts (~2500 cases per court). The Supreme Court has over 60,000 cases pending (US is about 90 per year). Many of these are “admissions” matters.
- Over 25% of cases take at least 10 years and in some regions (e.g., Mumbai) many cases (>40%) can have 10 year delays to get to the first trial decision.
- High degree of variation across regions.
- Alternative sources of suits feed into court system (Lok Adalats, ADRs).

■ Types of cases:

- 66% of cases are criminal, but conviction rates are low (~40% on average with some areas having 5%-10% conviction rates). Cf. US~ 90%, Japan ~99%.
- “Under-trials” represent bulk of people in prison (some estimate ~150,000).
- Government is a party in majority of civil suits (and criminal cases involve Government).
- Overall, Gov’t involved as a part in about 5 in 6 of all cases.
- Cannot say Indians more or less litigious compared to others (Galanter).

Consequences of Delays

■ Deterrence weakened by delays and responses:

- Court accuracy worsens as evidence gets older and thus deterrence weakened (i.e., reducing connection between what one does and what one gets weakens deterrence).
- Present value of any judgment reduces with time (monetary judgments (tho can address with pre-judgment interest to an extent), criminal judgments).
- Effects in cases:
 - Civil Cases - meritorious suits should decline and frivolous suits increase (delays enhance value of “nuisance value” suits).
 - Criminal Cases – delays reduce likelihood of conviction (weaker evidence). Low conviction rates >> environment for corruption, especially given how prosecutors and police assessed and the ease of arrest. Under-trials increase.
- Has frivolous litigation increased? Yes, and one indication is that conviction rates declining over time even though clearance rates are similar across time (suggests potentially less meritorious cases being brought or weaker evidence is presented).
- Business responses: More difficult to enforce contracts leading to expensive self protection measures (e.g., “hostage” investments, overseas escrow accounts – entry barriers, preliminary decisions) or engaging in less business than would otherwise occur.
- Limited access - Delays make Courts unattractive, especially for those with limited income.

Causes of Delays

■ Lots of Government Litigation:

- Over-criminalization of behavior – 66% of cases criminal: much higher than many other countries and for some things that are generally not considered criminal (e.g., check bouncing).
- Lots of Government Civil litigation – bulk of remaining 33% of cases. So about ~83% of all litigation involves Gov't. Most Govt cases are losses.
- Suggests that constraining and re-directing Government is highest marginal gain strategy (e.g., National Litigation Strategy) to reduce delays. India's prosecutors have more limited enforcement discretion and police have greater arrest powers than many other countries.

■ Other reasons?:

- Too few judges – so get more – but where from, expertise? What about case management...not sure makes first order difference. Increasing courts similarities to increasing roads.
- Private litigants and attorneys incentives – yes they do matter, but how much given that represent ~16% of litigation?
- Specialist courts/tribunals – typically short run effects and then dovetail.

Focus on a Specific Area of Gov't Litigation - Tax

- In Tax litigation gov't seems to lose about 85% of cases it's involved with – remarkable. Led Revenue Service and Finance Ministry to try to trim – dropping low amount disputes, etc...
- Likely causes for such a poor success rate:
 - How tax officers being incentivized/promoted (amounts claimed not obtained)
 - How monitor tax officials for corruption concerns – easier to have court decide.
 - Attorneys representing tax authorities have incentives that worsen case selection

Potential Interventions

- Change promotion/assessment standards away from amounts “claimed” to a different measure of selecting good cases.
- Change monitoring standard on how deal with corruption – need other standards of review for when acceptable to dismiss potential claims.
- Incentives of attorneys involved – perhaps a simpler subsidy structure is better than the current model.
- These suggest a couple of interventions (RCTs and experiments):
 - Review of case selection by independent experts in some IRD offices and not others;
 - Rely on factors leading to dismissal used in some IRD offices and not others;
 - Rely on amount thresholds, etc... in some offices and not others;
 - Rely on conditioning appeals on getting approval by higher authority in some offices and not others.
 - Change how attorneys compensated by the Govt in some offices and not others.
 - All of the above being pursued in various related projects – discussion of initial results.

NB: Recent Moves that seem to align - National Litigation Policy 2010

- Desire to structure internal incentives and constraints on types of suits:
 - Internal control structures (nodal officers, government committees). Good, though needs more detail.
 - Move to provide adequate motivations to government litigators and decision makers. Good, but quite vague still.
 - Appeals rules are good examples of detailed internal controls.
 - Encourage arbitration – good, more detail needed.
- Additional proposed changes:
 - Training programs for government advocates (good).
 - Reduce adjournments – good, but still vague.
 - Enhancing pleadings – good, but more detail needed.
 - Review pending cases – good.